

INDIFOOT SPORTS PRIVATE LIMITED

PAN: AAECI5982L

Status: Private Limited Company

UIN: U74999GJ2017PTC098719

DUE DILIGENCE REPORT



BHAVSAR & PATADIA

CHARTERED ACCOUNTANTS

F-506, Titanium City Centre,
Nr. IOC Petrol Pump, Satellite,
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BHAVSAR & PATADIA

Chartered Accountants

Due Diligence Report – Indifoot Sports Private Limited

We, **Bhavsar & Patadia, Chartered Accountants** have undertaken due diligence work of **M/S Indifoot Sports Private Limited**. Our scope of work is to complete due diligence of Statutory Compliances, Financials Records, GST Related Compliances, Income Tax Relate Compliances and Administrative Compliances carried out by the company.

Details of the Company:

Name of Company:	INDIFOOT SPORTS PRIVATE LIMITED
CIN:	U74999GJ2017PTC098719
Company Category/Type:	Company limited by Shares – Non-Government Private Company
Date of Incorporation:	17/08/2017
Registered Office of the Company:	30 - C, SUDARSHAN SOCIETY NEAR JAIN TEMPLE, MANJALPUR VADODARA Vadodara GJ 390011 IN
Company Status (For ROC Filing) –	Active
Authorized Capital:	Rs. 5,00,000/- (50,000 Equity Shares or Rs.10 each)
Issued and Paid-up Capital:	Rs. 1,25,000/- (12,500 Equity Shares or Rs.10 each)

Brief about the business of the company:

Footrax is providing you data analytics of your sports data via wearable tracking solutions for masses, for kids of schools and academies, for amateurs playing for leisure and fitness with self-paced learning modules on your fingertips.



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Proposed Transactions:

Company is planning to raise funds of Rs. 1,63,00,000/- from Shuru-Up Ventures for the purpose of **CAPEX for development and production of Footrax & Working Capital.**

We have audited financial records of the company from its incorporation date (17/08/2017) to 15/03/2022. For period of 17/08/2017 to 31/01/2021 we have relied upon the audited financials and for period of 01/04/2021 to 15/03/2022 we have relied upon the unaudited financials and data provide by the management and the key finding of our audit are as under:

1. Statutory Compliances under Companies Act, 2013:

- The management of the Company is carried out by the Board of Directors comprising of as listed in Annexure-A, and the Board was duly constituted. During the period under review the following changes that took place in the Board of Directors of the Company are listed in the **Annexure-A** and such changes were carried out in due compliance with the provisions of the Companies Act, 2013.
- The shareholding pattern of the company as on 15/03/2022 was as detailed in **Annexure – B**.
During the period under review the changes that took place in the shareholding pattern of the Company are detailed in **Annexure- B**
- The company has not altered any provision of its Memorandum of Associations and Articles of Association from its incorporation.
- The company has not entered into any transaction with business entities in which directors of the company were interested.

Company has paid total remuneration of Rs. 15,00,000/- to its directors during the period under review.

- The company has not advanced any loans, given guarantees and provided securities to its directors and/or persons or firms or companies in which directors were interested.
- The amount borrowed by the Company from its directors, members, financial institutions, banks and others were within the borrowing limits of the Company. Such borrowings were made by the Company in compliance with applicable laws. The breakup of the Company's domestic borrowings was as detailed in **Annexure-C**



- The Company has not defaulted in the repayment of public deposits, unsecured loans, debentures, facilities granted by banks, financial institutions and non-banking financial companies.
- It has been observed from the Reports of the Directors and the Auditors that the Company has complied with the applicable Accounting Standards issued by the Institute of Chartered Accountants of India.
- Company has filed all the necessary forms and all the annual returns which are required to be filed as per the provision of the Companies Act, 2013.

2. Compliances of Income Tax & Tax Deducted at Sources:

- **Income Tax Returns:**

During our review we have noticed that company has filed all their Income Tax Returns required to be filed during the review period which is detailed as **Annexure-D**

- **Tax Deducted at Sources:**

During our review and verification, we have noticed that company has not obtained TAN as company has not incurred or paid any expenses on which TDS was required to be deducted under the provision of Income Tax Act, 1961.

- **Depreciation/Fixed Assets:**

During our review and verification, we have noticed that company has capitalized all the assets which was required to be capitalized as per applicable accounting standards and has provided depreciation on all the fix assets as required under by Companies Act, 2013.

3. Good & Service Tax Compliances:

- During the review and verification of the records it is found that company has never crossed minimum aggregate turnover of Rs. 20,00,000/- for compulsory requirement of GST registration under the CGST Act.

However, company as obtained voluntary registration of GST on 19/03/2021.

- GST No of company is 24AAEC15982L1Z4 and company has filed all its GST returns required to be file from date of obtaining registration till the end of review period. However, company has late filed returns for the months of April-20 & May-20 resulting into late fees of Rs.360/-

While Comparing GST records maintained in the books of accounts and returns, we have found some discrepancies. Details of the same is attached herewith as **Annexure - E**



4. Administrative Records:

- **Salary Register, Professional Tax & PF/ESIC Compliances:**

During the review and verification of the records it is found that company has maintained salary register in excel format and all the entries are matching with books of accounts of the company.

- **Professional Tax Compliances**

During the review and verification of the record it is found that company has not obtained Professional Tax Certificate and also has neither deducted any professional tax on salaries paid to its employees nor paid any such professional tax to government

Management Comment: Company will appoint Mr. Chintan Lodha for obtaining Professional Tax Certificate and will finish any pending compliances in this regard and ensures that management will regularly comply in the future.

- **PF/ESIC Compliances**

During the review and verification of the records it is found that during any time of the period under review company has no employed more than 9 employees in the company hence provision of PF/ESIC is not applicable to the company.

5. Accounting & Audited Financial Records:

- We have checked the cash book and ledger and we have not found any payment done in contravention of provision of section 40A(3) of Companies Act, 2013.
- Details regarding sales, depreciation, Interest, Net Profit of the company is attached herewith as **annexure - F**
- We have examined the bank book maintained with the bank statements provided by the bank and found it properly accounted for and all the year end balances are matching with book of accounts during the review period.
- We have examined accounting for provision of various revenue expenses, liability, fixed assets and are found to be appropriate.
- We have examined accounting treatment of Debtors in the books of accounts and they are found to be appropriate.



- While examined the travelling expenses, we have found that certain credit card payment of director has been made by company and same has been debited to travelling expenses we could not verify the details of the same
- While examined the office rent expense ledger, we have found that rent was paid only till Feb 2020 after that there are no expenses booked for rent expense.

Management Comment: From March 2022 onwards due to COVID-19 Restrictions management decided to impose work from home polices. Hence no rent for office was paid post that.

- Company has received various government grants and treatment of all the grants received are given appropriately in the books of accounts.
- We have examined the transaction related to loans and advances and repaid, and as we found that company has received unsecured loan from and individual person amounting to Rs. 4,00,000/- & Rs. 3,00,000/- and same has been repaid by the company under the review period, which violates the provision of Companies Act, 2013.

For, Bhavsar & Patadia
Chartered Accountants
FRN: 0143400W

Het. V. Bhavsar



Het Bhavsar
Partner
Mem No: 168596
UDIN: 22168596AFIINY3294
Date: 22/03/2022
Place: Ahmedabad

Annexure-A: List of Directors

Sr.No.	Name of Director	DIN	Date Appointment	Date Resignation
1	KUSHAL PRATAP SINGH RATHORE	07683732	17/08/2017	-
2	ABHIJEET GHAG	07839184	17/08/2017	28/02/2022
3	CHINTAN LODHA	09163651	03/05/2021	-

Abhijeet Ghag has resigned from the company on 28/02/2022 and company has maintained all the proper documentation of the same and incorporated the same in the minutes of the company. However, company has not filed necessary form with ROC in regards to the same till the date of signing of this report.

Management Comment: We have to file the said forms with ROC within 30 days of such event. So due date for the same is 29/03/2022, management will file the same within due date.



Annexure-B: List of Shareholders

Sr.No.	Name of Shareholder	No of Shares Held	% of Shares Held
1	KUSHAL PRATAP SINGH RATHORE	6,875	55%
2	ABHIJEET GHAG	1,250	10%
3	CHINTAN LODHA	3,125	25%
4	ANKIT BHANDARI	1,250	10%

Note:

- Company has issued equity of Rs. 1,00,000/- (10,000/- Shares of Rs. 10 each) to the subscriber of the memorandum of the company. Company has issued 8000 equity shares and 2000 equity shares to Mr. Kushal Pratap Singh Rathore and to Mr. Abhijeet Ghag respectively.
- Company further issued fresh equity of Rs. 12,50,000/- (1,250 Share of Rs 10 each at a premium of Rs. 990 per share) to Mr. Ankit Bhandari during FY 2019-20 and issued fresh equity of Rs. 12,50,000/- (1,250 Share of Rs 10 each at a premium of Rs. 990 per share) to Mr. Chintan Lodha during FY 2020-21

For the same company has complied provisions of Companies Act and has filed all the necessary form with the ROC in regards to the same.

- During FY 2021-22 Mr. Kushal Pratap Singh Rathore and Mr. Abhijeet Ghag has transferred 625 share and 750 shares of their own to Mr. Chintan Lodha and appropriate treatment of the same has been given in the book of the company. These shares were transfer by one shareholder to another, company has maintained proper documents in regards to the same. However, we have not verified personal transaction entered by the respective shareholders.



Annexure-C: Borrowings of the Company (For the reporting period)

Sr.No.	Name of Lender	Nature of Entity	Amount Borrowed	Amount Repaid	Closing Balance As on 31.3.21
1	Kushal Pratap Singh Rathore	Director of the Company	4,94,487/-	Nil	4,94,487/-
2	Abhijeet Ghag	Director of the Company at the time of Receiving Loan	4,05,596/-	Nil	4,05,596/-
3	Amit Bhandai	Individual	3,00,000/-	3,00,000/-	Nil
4	Ankit Bhandari	Individual	4,00,000/-	4,00,000/-	Nil

Note:

1. Company has taken unsecured loan from Mr. Amit Bhandari and Mr. Ankit Bhandari amounting to Rs. 3,00,000/- and Rs. 4,00,000/- which violates the provisions of the companies Act, 2013.

Management Comment: during the initial year of the company management was not aware of such provisions. Upon realization of the same management has repaid the said loans and has not taken any such loans after that.



Annexure-D: Details of ITR Filed

Sr.No.	Financial Year	ITR Acknowledgement Number	Date of Filling of ITR	Due Date of Filling of ITR
1	FY 2017-18	361787051311018	31/10/2018	31/10/2018
2	FY 2018-19	223759661261019	26/10/2019	31/10/2019
3	FY 2019-20	262775281150221	15/02/2022	15/02/2022
4	FY 2020-21	364513800150322	15/03/2022	15/03/2022

Company has filed all his ITR within due dates and there are no discrepancies between books of accounts of the company and ITR filed. Also, company has not claimed any expenditure in contravention of any of the provision of the Income tax Act.



Annexure-E: GST Records:

GST Return Filing Table

Sr.No.	Period	GSTR 1		GSTR 3B	
		Date of Filing	Due Date	Date of Filing	Due Date
1	March 21	16/04/2021	11/04/2021	16/04/2021	20/04/2021
2	April 21	09/10/2021	11/05/2021	20/07/2021	20/05/2021
3	May 21	09/10/2021	11/06/2021	20/07/2021	20/06/2021
4	June 21	09/10/2021	11/07/2021	20/07/2021	20/07/2021
5	July 21 – Sept 21	09/10/2021	11/10/2021	18/10/2021	20/10/2021
6	Oct 21 – Dec 21	11/01/2022	11/01/2022	20/01/2022	20/01/2022

Note:

1. Company has late filed GSTR 1 for the month of April 2021, May 2021 & June 2021 and GSTR 3B for the month of April 2021 and May 2021.

Management Comment: As it was initial months after obtaining GST returns and also during the said period many COVID restrictions were imposed by the government because of the same there were delay in filling GST returns. Post June 2021 we have filed all the returns regularly.

2. Company has opted for QRMP scheme of GST from July 2021 onwards.

Comparison of Sales as per GST Return and Books of Accounts

Sr.No	Period	Sales as per GSTR 1	Sales as per GSTR 3B	Sales as per Books
1	March 21	Nil	Nil	Nil
2	April 21	Nil	Nil	Nil
3	May 21	Nil	Nil	Nil
4	June 21	Nil	Nil	Nil
5	July 21 – Sept 21	Nil	Nil	Nil
6	Oct 21 – Dec 21	Nil	Nil	Nil

Note:

1. There are no discrepancies as in terms of sales as per GSTR returns and as per sales books



Comparison of ITC as per GST Return and Books of Accounts

Sr.No	Period	ITC as per GSTR 3B	ITC as per GSTR 2B	ITC as per Books
1	March 21	Nil	264	Nil
2	April 21	Nil	13,062	13,062
3	May 21	17,649	17,649	17,649
4	June 21	12,798	264	12,798
5	July 21 – Sept 21	39,130	39,130	39,130
6	Oct 21 – Dec 21	46,143	46,143	46,143

Note:

1. ITC of Rs. 264 as shown in GSTR 2B has not been claimed by the company in March 2021 and same has been lapsed.

Management Comment: We have not received proper invoice of the said bill hence we have not taken the credit of the same.

2. There is a difference of Rs. 531 in ITC as per GSTR 2B and IT claimed in GSTR 3B and Books of accounts.

Management Comment: We have considered the same ITC credits in books of accounts and we will claim the any remaining ITC credit in the month of March 22 GST return.



Annexure-F: Financial Data:

Particular	FY 2017-18	FY 2018-19	FY 2019-20	FY 2020-21
Sales	Nil	6,72,509	11,66,192	2,88,000
EBDIT	(1,86,637)	(4,50,696)	(6,15,450)	(8,07,159)
Depreciation	(35,343)	(1,34,174)	(1,35,399)	(1,00,432)
EBIT	(2,21,980)	(5,84,870)	(7,50,849)	(9,07,591)
Interest	Nil	Nil	Nil	Nil
EBT	(2,21,980)	(5,84,870)	(7,50,849)	(9,07,591)
Taxes	Nil	Nil	Nil	Nil
Net Profit	(2,21,980)	(5,84,870)	(7,50,849)	(9,07,591)

Note:

While considering taxes we have not considered deferred tax.

**For, Bhavsar & Patadia
Chartered Accountants
FRN: 0143400W**

Het. v. Bhavsar



**Het Bhavsar
Partner
Mem No: 168596
UDIN: 22168596AFIINY3294
Date: 22/03/2022
Place: Ahmedabad**